

CloudWalk Payments Inc.

AML/CTF Risk Assessment — U.S. Card Issuing & Merchant Processing

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1. Risk Matrix — Products, Customers, Geography, Channels, Counterparties

Scores use a 1 (low) to 5 (high) scale. Shading: green = 1–2, amber = 3, red = 4–5.

Dimensi on	Sub- dimensi on	Inheren t	Justifica tion	Controls	Residual	Control Owner	National Priority
Products	Card issuing (credit/debit/prepaid)	3	Standard card issuance across three products; prepaid component carries elevated anonymity/portability risk vs. credit/debit.	CIP/KYC at onboarding; card-level transaction monitoring; card status controls (active/locked).	2	Head of Card Issuing / AML Program Manager	Fraud
Products	Merchant processing / acquiring	5	41 of 100 active merchants (41%) carry high_risk_mcc_flag=True — a high concentration of gambling	MCC-based underwriting tiers; mandatory EDD for high-risk MCC merchants; ongoing chargeback	3	Head of Merchant Underwriting / MRM	Fraud; Corruption; TCO

Dimension	Sub-dimension	Inherent	Justification	Controls	Residual	Control Owner	National Priority
			, quasi-cash and money-transfer merchants in the portfolio.	ck ratio monitoring.			
Products	Cross-border payment processing	4	7,479 transactions (23.1% of volume) are cross-border, spanning CA, BR, GB, AE, TR, MX and CN, creating geo-hopping and layering exposure.	Cross-border transactions monitoring rules (Query 4/Query 10); country risk tiering.	3	AML Transaction Monitoring Lead	TCO; Proliferation Financing
Products	Prepaid access	4	227 prepaid cards in issue; 40.8% of prepaid transaction volume occurs in high-risk MCCs, compounding the inherent anonymity risk of prepaid	FinCEN Prepaid Access Rule (31 CFR 1010) daily/monthly velocity limits (pending full enforcement); reload monitoring.	3	Card Program Manager	Fraud; TCO

Dimension	Sub-dimension	Inherent	Justification	Controls	Residual	Control Owner	National Priority
Customers	General consumer base	2	instruments. 428 of 501 customers (85.4%) are rated low risk; standard consumer profile with U.S. nexus dominant (473 of 501).	Standard CIP/KYC; periodic 24-month refresh for low-risk tier.	1	KYC Operations	Baseline
Customers	Politically Exposed Persons (PEPs)	4	16 PEP customers identified, all correctly rated risk_rating=high; 4 PEPs have blocked cards, indicating prior risk events.	Mandatory EDD; senior management approval for onboarding/continuation; enhanced ongoing monitoring; 6-month refresh cadence.	3	EDD / PEP Compliance Team	Corruption
Customers	Non-U.S. customers	3	28 of 501 customers are non-U.S. (CA, MX, GB, VE, BR), requiring cross-	doc_issue_country verification; independent ID/document checks;	2	KYC Operations	TCO

Dimension	Sub-dimension	Inherent	Justification	Controls	Residual	Control Owner	National Priority
			border document verification and elevated CDD.	standard -to-enhanced KYC by country tier.			
Customers	Venezuela-domiciled customers	4	2 customer domiciled in Venezuela (FATF Grey List, Oct 2025) currently carry risk_rating=low / kyc_level=standard — a confirmed control gap given TCO exposure (Tren de Aragua).	Mandatory EDD policy defined (Task 1.2); enforcement pending — rating upgrade to high and kyc_level to enhanced required.	4	AML Case Management / CCO	TCO (Tren de Aragua); Corruption
Customers	OFAC/FATF sanctioned-jurisdiction nexus (Iranian passport holder)	5	Customer C88888 holds an Iranian-issued passport (OFAC comprehensive sanctions , 31 CFR Part 560) with	Sanctions screening in place (score captured) but rating/E DD not yet escalated ; remediation plan	4	OFAC Sanctions Compliance Officer	Proliferation Financing; Terrorist Financing

Dimensi on	Sub- dimensi on	Inheren t	Justifica tion	Controls	Residual	Control Owner	National Priority
			sanctions _match_s core=0.8 4; risk_rati ng is currently subcalibr ated at medium.	issued (Task 2.2).			
Geograph y	U.S. domestic	2	Primary market; 473 of 501 customer s and 77 of 100 merchan ts are U.S.- incorpor ated/do micated.	Standard domestic BSA/AM L monitori ng program.	1	AML Program Office	Baseline
Geograph y	Canada / United Kingdom (CA, GB)	2	FATF- complian t, low ML/TF- risk partner jurisdicti ons; largest cross- border corridor by volume (CA: 2,956 txns).	Standard cross- border monitori ng; no incremen tal EDD required.	1	AML Transacti on Monitori ng	Baseline
Geograph y	Brazil / Mexico	3	Moderate -AML-	Country risk	2	AML Transacti	Drug Trafficki

Dimension	Sub-dimension	Inherent	Justification	Controls	Residual	Control Owner	National Priority
	(BR, MX)		risk jurisdictions with meaningful volume (BR: 1,971 txns); MX corridor carries drug-trafficking-related typology exposure per FinCEN priorities .	tiering; enhanced monitoring above volume threshold s.		on Monitoring	ng; Fraud
Geography	UAE / Turkey (AE, TR)	4	612 (AE) and 329 (TR) transactions; both are recognized transit corridors for sanctions-evasion and trade-based money laundering, though not currently FATF-listed.	EDD mandated for AE/TR counterparties (Task 1.2 program update); enhanced transaction monitoring.	3	AML Transaction Monitoring / Sanctions	Proliferation Financing; TCO

Dimension	Sub-dimension	Inherent	Justification	Controls	Residual	Control Owner	National Priority
Geography	China (CN)	3	Present in merchant incorporation/cross-border data; associated with capital-flight and trade-based ML concerns per FinCEN priorities	Enhanced monitoring on crypto/quasi-cash (MCC 6051) transactions involving CN counterparties.	2	AML Transaction Monitoring	Fraud; Corruption
Geography	OFAC-sanctioned / FATF Black-Grey list nexus (IR, VE)	5	Direct exposure via doc_issue_country=IR (1 customer, 19 merchant UBOs) and country=VE (2 customers); Iran is OFAC-comprehensive and FATF Black List.	Sanctions screening exists but is subcalibrated (see Customer's row above); blocking /EDD enforcement in progress.	4	CCO / Sanctions Compliance	Proliferation Financing; Terrorist Financing; TCO
Channels	Card-present (CHIP /	2	In-person transacti	EMV chip authentic	1	Card Operations	Fraud (low)

Dimension	Sub-dimension	Inherent	Justification	Controls	Residual	Control Owner	National Priority
	CONTACTLESS)		ons with strong cryptographic authentication; lowest-risk channel in the portfolio.	ation; card network fraud tooling.			
Channels	ECOM with 3DS / TOKENIZED	2	Card-not-present transactions with strong customer authentication present.	3DS enforcement at high-risk MCCs; tokenization standards.	1	Payments Engineering	Fraud
Channels	ECOM without 3DS (KEYED entry)	5	5,983 ECOM transactions (33.8% of ECOM volume) use KEYED entry with no strong authentication — the dataset's confirmed card-testing vector (254 sub-\$5 attempts,	Card-testing detection logic drafted (Query 1); full 3DS-enforcement rollout for high-risk MCCs pending.	4	Fraud / AML Engineering	Fraud; Cybercrime

Dimension	Sub-dimension	Inherent	Justification	Controls	Residual	Control Owner	National Priority
			70.1% decline rate, 22 unique cards).				
Channels	Device sharing (mule aggregation)	5	5,159 devices are shared by 2+ customers; extreme case of 12 distinct customers on a single device_id transacting at MCC 4829 (money transfer).	Device fingerprinting captured in data model; hard velocity/blocking rule (Query 2) drafted but not yet enforced in production.	4	AML Transaction Monitoring / Fraud	TCO; Cybercrime; Human Trafficking
Channels	OCT instant payouts + crypto on-ramp (planned)	5	Proposed new channel combining instant, largely irreversible payouts with crypto conversion (MCC 6051) — materially amplifies existing	Not yet launched; formal pre-launch Product Risk Assessment in progress (Section 5) — no production controls active yet.	5	Product Risk Partner / CCO	Cybercrime; Proliferation Financing; Fraud

Dimension	Sub-dimension	Inherent	Justification	Controls	Residual	Control Owner	National Priority
			quasi-cash exposure (1,687 MCC 6051 txns today).				
Counterparties	Sponsor bank (Lead Bank, FDIC member)	2	Regulated banking partner and SAR-filing institution of record under the program-manager model.	Contractual BSA/AML program requirements; 48-hour escalation SLA from CloudWalk to Lead Bank; joint governance committee.	1	Sponsor Bank Relationship Manager / CCO	Baseline
Counterparties	Card networks / acquiring banks (Visa, Mastercard)	2	Regulated network partners subject to their own compliance programs.	Network compliance requirements; shared chargeback and fraud-signal monitoring.	1	Network Relations	Fraud
Counterparties	MSB merchants (MCC 4829 /	5	Money-transfer and quasi-	MSB registration verification	4	Merchant KYB / Underwriting	TCO; Fraud; Corruption

Dimension	Sub-dimension	Inherent	Justification	Controls	Residual	Control Owner	National Priority
	6051)		cash merchants are, by definition, MSBs; 2 of these (M3020-AE, M3070-BR) currently lack a valid msb_registration_number.	on at onboarding and refresh; Travel Rule (31 CFR 1010.410) data-collection checks for transfers ≥ \$3,000; remediation opened for M3020/M3070.			
Counterparties	UBOs domiciled in Iran / Russia	5	40 merchant UBOs from Iran or Russia identified; under the OFAC 50% Rule's aggregate ownership test (combined interest of all Iran/Russia-linked owners, not just a	UBO extraction and flagging completed (Task 2.4); all 4 merchants escalated (FLAG-1, FLAG-2, FLAG-3 and FLAG-5); M3001 and M3056 prioritized as single-owner critical	5	OFAC Sanctions Compliance Officer / Legal	Proliferation Financing; Terrorist Financing

Dimension	Sub-dimension	Inherent	Justification	Controls	Residual	Control Owner	National Priority
			single individual), 4 merchants meet or exceed the 50% threshold : 3 via a single Iranian UBO individually owning ≥50% — M3001 (87.35%), M3012 (57.03%), M3056 (59.17%, PEP) — and 1 via the aggregate test, M3098 (55.41% combined across two Iranian co-owners, 18.99% + 36.42%, neither individually ≥50%).	cases; remediation for all 4 not yet fully complete — potential blocked-entity exposure remains open.			
Counterp	Shared	4	One IP	IP/	3	Fraud /	Cybercri

Dimension	Sub-dimension	Inherent	Justification	Controls	Residual	Control Owner	National Priority
Parties	device/IP infrastructure (third-party facilitation)		address is shared by 12 distinct customer s in ECOM transactions, consistent with a coordinated mule-farm or syndicate access point.	device-ring detection logic drafted (Query 8); no automate d blocking yet in production.		AML Engineering	me; TCO

2. Overall Risk Profile — Narrative Summary

CloudWalk's U.S. card issuing and merchant processing model carries a moderate-to-high inherent AML/CTF risk profile, driven principally by three concentrations confirmed in the underlying transaction and KYC data: a high-risk-MCC-heavy merchant book (41% of the 100-merchant portfolio, spanning money transfer, quasi-cash, gambling, ATM, jewelry and direct-marketing merchants); an unauthenticated e-commerce channel in which a third of ECOM volume (5,983 of ~17,700 transactions) bypasses 3DS; and a small but material set of sanctioned-jurisdiction touchpoints, including one Iranian-passport customer with a 0.84 sanctions match score, two Venezuelan customers on the FATF Grey List, and 40 merchant UBOs domiciled in Iran or Russia, of which 4 merchants meet the OFAC 50% Rule threshold — 3 with a single Iranian UBO ≥50% (M3001 87.35%, M3012 57.03%, M3056 59.17% PEP) and 1 via the aggregate test (M3098, 55.41% across two Iranian co-owners). Existing controls — CIP/KYC at onboarding, MCC-based underwriting, sanctions and PEP screening, chargeback monitoring, and a sponsor-bank reporting chain with Lead Bank as the filing institution — meaningfully reduce residual risk across the majority of dimensions, particularly for domestic, card-present, and low-risk-geography activity. However, four specific gaps prevent the overall program from being rated fully effective today: (1) the Iranian-passport and Venezuelan customer risk ratings are subcalibrated relative to their underlying risk indicators; (2) two MCC 6011 merchants operate without valid MSB registration; (3) the two Iranian-UBO merchant cases have not completed OFAC 50% Rule remediation; and (4) device-sharing and card-testing detection logic has been designed but not yet deployed to production with enforcing thresholds. Closing these four gaps, together with completing the pre-launch risk assessment for the proposed OCT/crypto on-ramp product, would move the majority of

“residual 4–5” dimensions below the escalation threshold and materially strengthen alignment with FinCEN’s 2021 National AML/CFT Priorities — most notably Proliferation Financing, Transnational Criminal Organizations, and Cybercrime.

3. Top 5 Risks by Residual Score (Residual ≥ 4)

Rank	Risk	Residual Score	Priority Control	Owner
1	4 merchants meet the OFAC 50% Rule threshold via Iran-linked UBOs — 3 single-owner (M3001 87.35%, M3012 57.03%, M3056 59.17% PEP) plus 1 aggregate (M3098, 55.41% across two co-owners)	5	Immediate escalation to Legal/CCO for all 4 merchants; processing suspension pending OFAC 50% Rule determination; potential blocked-entity filing	OFAC Sanctions Compliance Officer / Legal
2	Planned OCT instant payouts + crypto on-ramp (MCC 6051) launching with no production controls yet in place	5	Complete formal Product Risk Assessment (Section 5) before launch; enforce velocity limits, geofencing, MCC blocklist, 3DS, tiered KYC as launch conditions	Product Risk Partner / CCO
3	Iranian-passport customer (C88888, sanctions_match_score=0.84) subcalibrated at risk_rating=medium / kyc_level=standard	4	Immediate upgrade to high/enhanced; complete EDD remediation (Task 2.2); evaluate SAR filing basis	OFAC Sanctions Compliance Officer

Rank	Risk	Residual Score	Priority Control	Owner
4	Device-sharing / mule aggregation — up to 12 customers on one device_id at MCC 4829, across 5,159 shared devices	4	Deploy Query 2 device-sharing rule to production with hard velocity thresholds; investigate top device clusters	AML Transaction Monitoring / Fraud
5	ECOM transactions without 3DS in high-risk MCCs (5,983 txns, 33.8% of ECOM) enabling card-testing and unauthenticated fraud	4	Enforce mandatory 3DS for all high-risk-MCC ECOM transactions; deploy Query 1 card-testing rule to production	Fraud / AML Engineering

4. Data Quality Findings (Gemini QA Cross-Check)

The following data-quality gaps were identified during independent verification of the underlying dataset and are recorded here as risk-relevant findings, separate from the transactional typologies above.

- **High null rate in device/IP fields.** ip_address and device_id are null in 45.3% of transactions (14,652 of 32,348) — concentrated, as expected, in card-present / physical point-of-sale transactions where no digital fingerprint is captured. This is not itself an anomaly, but it caps the effective coverage of every device-sharing and IP-ring detection rule (Queries 2 and 8) to the ECOM/CNP subset of the ledger; monitoring reports citing device/IP-based typology counts should disclose this denominator limitation rather than imply full-population coverage.
- **Minors present in the customer population.** 23–24 customers (depending on the exact age cut-off applied — as of the reporting-period end date 2025-11-07) have a recorded date of birth placing them under 18 years of age, based on the dob field in Customers_KYC. Under CIP (31 CFR 1020.220), an account may not be onboarded for a individual who cannot be identified and verified as the account holder, and a synthetic or erroneous DOB for a nominally adult customer population is itself a data-integrity concern independent of any AML typology. Recommended action: (1) manually pull and review the full list of affected customer_id values against onboarding records, (2) confirm whether these are data-entry/synthetic-data artifacts or genuine CIP

exceptions requiring escalation, and (3) institute an automated age-gate check in the onboarding pipeline (Section 8) so no future account is opened against a DOB indicating an age under 18 without documented parental/guardian and enhanced-verification handling.